

Whitespace. Price should bounce across the pattern from top to bottom frequently, filling the whitespace with price movement.

Price action before breakout. In some ascending broadening formations, price moves sideways for many months while trying to decide on a breakout direction. Eventually, price rises above the formation top or slides through the bottom trendline and stages a breakout.

Breakout direction. The breakout favors an upward direction, but it's almost random. A breakout occurs when price closes outside the trendline boundary.

Volume. The volume trend is usually upward. Don't discard a chart pattern because volume trends in a direction different from what you expect.

Support and resistance. I chose [Figure 9.3](#) because it shows the two common areas of support and resistance. These areas follow the trendlines. Along the base of the formation projected into the future, the support area repels the decline over 2 years after the formation ends. The rising trendline tells a similar tale; it repels price three times nearly a year later.

The implications of this observation are profound. If you own a stock and it is breaking out to new highs, it would be nice to predict how high price may rise. One way to do that is to search for formations such as this one. Many times, extending the trendlines into the future will predict areas of support and resistance.

Although the trendline did not predict the absolute high, it did suggest when price would stall. The resistance area turned out to be a good opportunity to sell the stock.

Focus on Failures

[Figure 9.4](#) shows a failure that's typical for most chart patterns: It's called a 5% failure.

Price bounces between the two trendlines plenty of times, forming a right-angled and ascending broadening formation, A. Price along the bottom sometimes pierces the horizontal support line (B) and sometimes it falls short. It's close enough, though, to give us enough minor low touches.